
Procurement Agreement

between

GlobalTrade Logistics Inc.

and

Helios Components Ltd.

Agreement No. HC-PA-2024-074

Effective Date: May 20, 2024

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1. Parties

This Procurement Agreement (the "Agreement") is entered into as of May 20, 2024 (the "Effective Date") by and between **GlobalTrade Logistics Inc.**, a Delaware corporation with its principal place of business at 400 Harborview Plaza, Suite 1200, Wilmington, Delaware, USA ("GlobalTrade", the "Buyer"), and **Helios Components Ltd.**, a company registered in England and Wales (No. 08841276), with its principal place of business at 42 Causeway Science Park, Cambridge CB4 0WS, United Kingdom ("Helios", the "Supplier"). GlobalTrade and Helios are each a "Party" and together the "Parties". This Agreement supersedes all prior agreements, proposals, term sheets, and letters of intent between the Parties relating to its subject matter.

2. Definitions

For the purposes of this Agreement, the following capitalized terms have the meanings set out below. Other capitalized terms are defined where they first appear.

1. **"Business Day"** means any day other than a Saturday, Sunday, or public holiday in the jurisdiction of the delivery destination.
2. **"Scheduled Delivery Date"** means for each purchase order line, the delivery date stated on the released PO, which shall respect the lead times fixed in Schedule A.
3. **"Late Delivery"** means any PO line received at the named destination after its Scheduled Delivery Date; liquidated damages under Section 6 accrue only after the three (3) Business Day grace period in Section 5.2.
4. **"On-Time Delivery Rate"** means, for any calendar month, the number of PO lines delivered on or before their Scheduled Delivery Date divided by the total number of PO lines due for delivery in that period, expressed as a percentage and rounded to one decimal place.
5. **"Line-Item Value"** means the extended price of a purchase order line (unit price multiplied by ordered quantity) as stated on the released PO, exclusive of taxes and freight; liquidated damages under Section 6 are computed on Line-Item Value.
6. **"Service Levels"** means the performance commitments set out in Section 5 of this Agreement.
7. **"Confidential Information"** means all non-public business, technical, pricing, volume, and operational information disclosed by one Party to the other, whether marked confidential or not, that a reasonable person would understand to be confidential.
8. **"Grace Period"** means the three (3) Business Days immediately following a PO line's Scheduled Delivery Date, during which no liquidated damages accrue.
9. **"Late Business Day"** means each Business Day, or part thereof, elapsed after the end of the Grace Period until actual receipt.
10. **"AQL"** means the acceptance quality limit defined in Section 5.3 per ISO 2859-1.

3. Scope of Supply

The Supplier shall manufacture, sell, and deliver to the Buyer the electronic components listed in Schedule A (the "Products"), comprising sensor modules, printed circuit board assemblies (PCBAs), connectors, and power-management components manufactured at the Supplier's Cambridge and Penang facilities, for delivery to the Buyer's distribution centers and contract manufacturers worldwide as designated on each purchase order ("PO"). The Buyer shall provide non-binding six-month rolling forecasts updated monthly; only released POs are binding. Lead times per Product are fixed in Schedule A and the Scheduled Delivery Date on each PO line shall respect them. Delivery is DAP (Incoterms 2020) at the named destination; title passes on delivery and risk passes per the Incoterm. The Supplier shall maintain component traceability to lot level and provide certificates of conformance with each shipment.

4. Term

This Agreement commences on the Effective Date and continues for an initial term of two (2) years (the "Initial Term"). Upon expiry of the Initial Term, this Agreement automatically renews for successive two (2)-year renewal periods (each a "Renewal Term") unless either Party gives written notice of non-renewal at least one hundred twenty (120) days before the end of the then-current term. Rates and Service Levels remain fixed during the Initial Term; thereafter, either Party may request one rate review per Renewal Term, provided that any adjustment exceeding 5% per annum requires mutual written agreement supported by a documented cost index. Sections 2, 6 (with respect to accrued penalties and credits), 8, 11, and the confidentiality obligations survive expiry or termination of this Agreement for a period of three (3) years.

5. Service Levels

5.1 Service Level Framework

The Supplier's performance is measured monthly across all PO lines due in the calendar month, using the Buyer's goods-receipt records reconciled with the Supplier's advance shipping notices and lot documentation.

5.2 On-Time Delivery Commitment

The Supplier commits to an On-Time Delivery Rate of at least **97.0%** of PO lines in each calendar month, reflecting the line-down criticality of the Products to the Buyer's downstream manufacturing. Each PO line benefits from a **grace period of three (3) Business Days** after its Scheduled Delivery Date: deliveries within the grace period count as on time for penalty purposes under Section 6 but are reported separately on the monthly scorecard as "grace deliveries".

5.3 Quality Commitment

Delivered Products shall meet an acceptance quality limit (AQL) of **0.65**, general inspection level II, per ISO 2859-1, at the Buyer's incoming inspection. Rejected lots shall be collected by the Supplier within ten (10) Business Days and replaced within the original lead time at the Supplier's cost; return merchandise authorizations (RMAs) must be issued within ten (10) Business Days of notification.

5.4 Measurement & Reporting

The Supplier shall deliver a monthly scorecard by the fourth (4th) Business Day of the following month covering On-Time Delivery Rate, grace deliveries, AQL results, open RMAs, and liquidated damages accrued under Section 6, and shall attend a quarterly business review including a capacity and obsolescence outlook.

6. Liquidated Damages for Late Delivery

6.1 Liquidated Damages

The Parties agree that the Buyer's losses from late component deliveries (production-line stoppage, expedited re-planning, air-freight substitution) are real but difficult to quantify, and fix liquidated damages as a genuine pre-estimate of loss, not a penalty. For each PO line delivered after its grace period under Section 5.2, the Supplier shall pay the Buyer liquidated damages of **1% of the Line-Item Value for each Late Business Day counted from the end of the three (3) Business Day grace period**.

6.2 Damages Cap

Liquidated damages for any single PO line are capped at **20% of that line's Line-Item Value** — the highest cap in the Buyer's supplier portfolio, reflecting the criticality of the Products.

6.3 Worked Example

A PO line with a Line-Item Value of GBP 8,000 is delivered seven (7) Business Days after its Scheduled Delivery Date. The first three (3) Business Days fall within the grace period; four (4) chargeable Late Business Days remain, so liquidated damages are $4 \times 1\% = 4\%$ of GBP 8,000 = **GBP 320**. A delay of thirty (30) Business Days would compute to 27% but is capped at 20%, i.e. **GBP 1,600**.

6.4 Relationship to Other Remedies

Liquidated damages under this Section 6 are the Buyer's exclusive financial remedy for late delivery of conforming Products, but do not limit the Buyer's remedies for non-conforming Products under Section 5.3, its cancellation rights for lines more than twenty (20) Business Days late, or its termination rights under Section 10.

7. Invoicing & Payment

The Supplier shall invoice the Buyer upon dispatch of each PO line, in **pounds sterling (GBP)**, referencing the PO number, line number, lot numbers, and certificate of conformance. Undisputed invoices are payable **net sixty (60) days** from the invoice date. The Buyer must raise invoice disputes within fifteen (15) Business Days of receipt; the undisputed portion remains payable when due. Late payments accrue interest at the Bank of England base rate plus four (4) percentage points per annum on overdue undisputed amounts. Prices are fixed per Schedule A for each twelve-month period; exchange-rate and material-cost adjustments require the review mechanism in Section 4. Tooling owned by the Buyer and held by the Supplier is itemized in Schedule D and invoiced separately.

8. Liability & Indemnification

Helios's aggregate liability under this Agreement, whether arising in contract, tort (including negligence), breach of statutory duty, or otherwise, shall not exceed one hundred fifty percent (150%) of the total PO Value of all purchase orders released by the Buyer in the twelve (12) months preceding the event giving rise to liability. The foregoing cap does not apply to: (a) liability arising from gross negligence, willful misconduct, or fraud; (b) Helios's indemnification obligations in respect of third-party claims for bodily injury, death, or damage to tangible property; (c) breaches of confidentiality; or (d) claims arising from non-conforming or defective Products, including the Supplier's replacement and RMA obligations under Section 5.3. Liquidated damages under Section 6 are the Buyer's exclusive financial remedy for late delivery of conforming Products as such, but do not limit the Buyer's quality remedies under Section 5.3, cancellation rights under Section 6.4, or termination rights under Section 10. Neither Party is liable to the other for indirect, consequential, special, or punitive damages, or for loss of profit, revenue, or goodwill, except to the extent such damages fall within the carve-outs above. Helios shall maintain, at its own cost, commercial general liability insurance of at least GBP 5,000,000 per occurrence including products liability, and employer's liability insurance as required by UK law, and shall provide certificates of insurance to GlobalTrade upon request and at each renewal.

9. Force Majeure

Neither Party is liable for any failure or delay in performance caused by events beyond its reasonable control, including natural disasters, severe weather, epidemics, war, terrorism, civil unrest, acts of government, embargoes, port or airport closures, customs stoppages not attributable to documentation errors by the affected Party, national or industry-wide strikes (expressly excluding strikes limited to Helios's own workforce), and widespread failures of public infrastructure, utilities, or telecommunications (each a "Force Majeure Event"). The affected Party must notify the other Party in writing within five (5) Business Days of becoming aware of a Force Majeure Event, describing the event, the performance affected, and the estimated duration, and must use commercially reasonable efforts to mitigate its impact and resume performance. Service Level measurement under Section 5 is suspended for PO lines demonstrably affected by the Force Majeure Event, and no penalties or credits under Section 6 accrue with respect to such PO lines. If a Force Majeure Event continues for more than ninety (90) consecutive days, either Party may terminate this Agreement upon written notice without penalty, and the Buyer shall pay only for services performed and conforming goods delivered up to the effective date of termination.

10. Termination

Either Party may terminate this Agreement: (a) for material breach by the other Party that remains uncured twenty (20) Business Days after written notice describing the breach in reasonable detail; (b) immediately upon written notice if the other Party becomes insolvent, files or has filed against it a petition in bankruptcy that is not dismissed within sixty (60) days, or makes a general assignment for the benefit of creditors; or (c) as provided in Section 9. GlobalTrade may additionally terminate this Agreement: (d) for convenience on one hundred twenty (120) days' written notice; and (e) for chronic Service Level failure, defined as an On-Time Delivery Rate below 97.0% in any three (3) calendar months within a rolling six (6)-month window, on thirty (30) days' written notice without any further cure period. Upon any termination or expiry, Helios shall complete all PO lines in transit or accepted prior to the effective date of termination in accordance with this Agreement, shall return or destroy all Confidential Information of GlobalTrade, and shall cooperate in good faith in an orderly transition to a successor provider for up to sixty (60) days at the rates then in effect. Termination does not relieve either Party of obligations accrued before the effective date of termination, including penalties and service credits accrued under Section 6.

11. Governing Law & Dispute Resolution

This Agreement is governed by and construed in accordance with the laws of England and Wales, without regard to its conflict-of-laws principles. The courts of England and Wales sitting in London have exclusive jurisdiction over any dispute arising out of or in connection with this Agreement, and each Party irrevocably submits to that jurisdiction. Before initiating any proceeding, the Parties shall escalate the dispute first to their respective account managers and, failing resolution within fifteen (15) Business Days, to a senior executive of each Party; only if the dispute remains unresolved thirty (30) days after escalation to executives may a proceeding be initiated. Nothing in this Section prevents either Party from seeking interim injunctive relief to protect its Confidential Information or intellectual property.

12. Miscellaneous

This Agreement, together with its Schedules and any executed amendments, constitutes the entire agreement between the Parties with respect to its subject matter. Amendments must be in writing and signed by authorized representatives of both Parties. Neither Party may assign this Agreement without the other Party's prior written consent, except to an affiliate or in connection with a merger, acquisition, or sale of substantially all of its assets, with written notice to the other Party. Helios shall not subcontract the manufacture of any Product to a facility not listed in Schedule A without GlobalTrade's prior written approval, and remains fully liable for the acts and omissions of any approved subcontractor as if they were its own. All notices must be in writing and delivered to the addresses stated in Section 1 by courier or by email with delivery confirmation. If any provision of this Agreement is held invalid or unenforceable, the remaining provisions remain in full force and effect. No waiver of any provision is effective unless made in writing; the failure of either Party to enforce any provision is not a waiver of its right to do so later.